



THE STATE UNIVERSITY OF ZANZIBAR
DEPARTMENT OF COMPUTER SCIENCE AND IT
TUNGUU ZAZIBAR

COURSE NAME	INFORMATION SYSTEM AUDIT AND CONTROL
COURSE CODE	INF 3201
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TYPE OF WORK:	INDIVIDUAL ASSIGNMENT
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QUESTION:

You have been employed by a Akili Mali Ltd that asked you to audit their ERP system with modules for HR, Finance, Procurement, and Sales. In this assessment, you are required to give a detail description of your auditing process

Introduction

An **Enterprise Resource Planning (ERP) system** is an integrated software solution that manages an organization's core business processes such as Human Resources (HR), Finance, Procurement, and Sales through a centralized database. Auditing an ERP system ensures that the system is secure, reliable, compliant with organizational policies, and supports business objectives.

An ERP audit differs from a traditional financial audit because it must evaluate both the **technology layer** (system controls, access, data integrity) and the **business process layer** (how each module supports operations and reporting).

As an ERP auditor employed by **Akili Mali Ltd**, my responsibility is to assess whether the ERP system is operating effectively, efficiently, securely, and in compliance with applicable laws, regulations, and company policies.

ERP Auditing Process

1. Audit Planning

The auditing process begins with careful planning. During this stage, the organization's business operations, structure, and ERP environment are studied to obtain a clear understanding of how the system supports business activities. Previous audit reports, organizational policies, system documentation, and business objectives are reviewed to determine the audit scope and objectives. The resources required, audit schedule, and audit methodology are also established during this phase. Proper planning ensures that the audit is organized and focuses on areas that present the greatest level of risk.

2. Understanding the ERP System

After planning, a comprehensive understanding of the ERP system is obtained by examining its architecture, database structure, business processes, user roles, system interfaces, and data flow among different modules. This stage provides insight into how information is generated, processed, stored, and shared across the organization. A thorough understanding of the ERP environment enables the identification of critical processes and areas that require detailed examination during the audit.

3. Risk Assessment

Risk assessment is conducted to identify potential threats that could compromise the confidentiality, integrity, and availability of information within the ERP system. Common risks include unauthorized access, fraud, inaccurate financial reporting, cyberattacks, data loss, and system failures

The following are inherent and control risks for each module:

Module	Key risks
Human resource	Ghost employees, unauthorized changes to payroll rates, poor segregation between HR data entry and payroll approval
Finance	Unauthorized journal entries, incorrect chart-of-accounts mapping, weak period-end close controls
Procurement	Fictitious vendors, split purchase orders to bypass approval thresholds, conflict of interest in vendor selection
Sales	Revenue recognition errors, unauthorized discounts/credit notes, duplicate or fictitious sales orders

This risk assessment guides where focused on the most testing effort (a risk-based audit approach rather than testing everything equally).

4. Module-Specific Testing

The effectiveness of internal controls is evaluated to determine whether adequate measures have been implemented to safeguard organizational assets and information. Administrative controls such as organizational policies, segregation of duties, and approval procedures are reviewed alongside technical controls including authentication mechanisms, password policies, encryption, firewalls, antivirus software, and access permissions. Physical controls, including server room security, surveillance systems, and environmental protection measures, are also examined. Strong internal controls reduce the likelihood of fraud, unauthorized access, and operational errors.

A. Auditing the Human Resource Module

The Human Resource module is audited to determine whether employee information is accurate, complete, and adequately protected. Employee records, payroll processing, recruitment activities, attendance records, leave management, and employee benefits are reviewed to ensure that they comply with organizational policies. Payroll records are compared with employee attendance and employment records to detect irregularities such as ghost employees or unauthorized salary payments. User access rights are also examined to ensure that sensitive employee information can only be accessed or modified by authorized personnel.

B. Auditing the Finance Module

The Finance module is examined to ensure that financial transactions are accurately processed and properly recorded. The audit includes reviewing general ledger accounts, accounts payable, accounts receivable, budgeting processes, tax calculations, and financial statements. Financial transactions are verified using supporting documents, while bank reconciliations and approval procedures are examined to identify inconsistencies or fraudulent activities. This process ensures that financial reports generated by the ERP system are accurate, reliable, and compliant with accounting standards.

C. Auditing the Procurement Module

The Procurement module is audited to determine whether purchasing activities comply with organizational policies and procedures. Supplier registration, purchase requisitions, purchase orders, supplier contracts, goods received notes, and invoice processing are reviewed to verify the legitimacy of procurement transactions. Authorization procedures and supplier selection processes are also evaluated to identify weaknesses that may result in unauthorized purchases, supplier fraud, or duplicate procurement activities. Effective procurement controls contribute to transparency and accountability in purchasing operations.

D. Auditing the Sales Module

The Sales module is examined to verify that customer transactions are processed accurately and revenue is correctly recorded. Customer records, sales orders, invoices, receipts, inventory updates, and payment records are reviewed to ensure consistency and completeness. Sales transactions are matched with delivery records and customer payments to confirm their authenticity. Approval procedures for discounts, product returns, and credit sales are also evaluated to identify possible cases of revenue manipulation, unauthorized discounts, or fraudulent sales transactions.

5. Reviewing User Access Controls

User access controls are reviewed to determine whether access to the ERP system is appropriately restricted according to users' job responsibilities. User accounts, assigned roles, access privileges, login histories, and password management practices are examined to ensure compliance with the principle of least privilege. Inactive user accounts, shared accounts, and excessive user permissions are identified because they increase the risk of unauthorized access and compromise system security.

6. Reviewing Data Integrity

The audit also evaluates data integrity to ensure that information stored within the ERP system is accurate, complete, consistent, and protected from unauthorized modification. Data validation techniques, reconciliation procedures, transaction verification, and consistency checks between related modules are performed to confirm the reliability of organizational information. Maintaining data integrity ensures that management decisions are based on accurate and dependable information.

7. Reviewing Backup and Disaster Recovery

Backup and disaster recovery procedures are evaluated to determine whether organizational data can be restored following system failures, cyberattacks, or natural disasters. Backup schedules, storage methods, disaster recovery plans, and business continuity plans are reviewed to assess the organization's preparedness for unexpected disruptions. Backup restoration procedures are also examined to verify that critical business information can be recovered within an acceptable period, thereby minimizing operational interruptions.

8. Security Assessment

A security assessment is conducted to determine whether adequate measures have been implemented to protect the ERP system from internal and external threats. Firewall configurations, antivirus software, system updates, network security controls, intrusion detection mechanisms, and vulnerability management procedures are evaluated. Security testing may also be performed to identify weaknesses that could be exploited by attackers. The objective of this assessment is to maintain the confidentiality, integrity, and availability of organizational information.

9. Compliance Review

Compliance with organizational policies, legal requirements, and industry standards is examined to ensure that the ERP system supports lawful and ethical business operations. The audit reviews compliance with accounting standards, taxation laws, employment regulations, procurement policies, and data protection legislation. Compliance evaluation helps reduce legal risks and strengthens organizational governance.

10. Collection of Audit Evidence

Reliable and sufficient audit evidence is collected throughout the audit process to support audit findings and conclusions. Evidence may include system-generated reports, financial records, transaction logs, policy documents, employee interviews, observations of business processes, screenshots, and database records. The evidence collected must be relevant,

accurate, and sufficient to provide a sound basis for audit conclusions and recommendations.

11. Reporting Audit Findings

After completing the audit, a comprehensive audit report is prepared to present the audit objectives, scope, methodology, findings, identified risks, and recommendations. The report clearly explains weaknesses identified within the ERP system, their potential impact on organizational operations, and the corrective actions required to address them. The report serves as an important management tool for improving internal controls, enhancing security, and strengthening ERP performance.

12. Follow-up Audit

A follow-up audit is conducted after corrective actions have been implemented to determine whether the identified weaknesses have been effectively addressed. The effectiveness of newly implemented controls is evaluated to ensure that risks have been reduced and that the ERP system continues to operate efficiently, securely, and in accordance with organizational objectives. Follow-up activities also promote continuous improvement in the organization's information systems.

conclusion

In conclusion, auditing Akili Mali Ltd's ERP system provides an organized way to verify that the HR, Finance, Procurement, and Sales modules operate effectively, securely, and in compliance with relevant policies and regulations. Through risk assessment, internal control reviews, evidence collection, and follow-up checks, the audit identifies weaknesses and potential threats, recommends improvements, and helps reduce fraud and operational errors. Overall, regular ERP audits strengthen internal controls, protect organizational data, and support reliable decision-making for better organizational performance.

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